

greater long-range gains that this concept requires.”¹¹ Subordinating immediate profits, he explained, should not be confused with sacrificing immediate profits. An above-average manager has the ability to implement the company’s long-range plans while simultaneously focusing on daily operations.

Fisher considered another trait critical: Does the business have a management of unquestionable integrity and honesty? Do the managers behave as if they are trustees for the stockholders, or does it appear they are only concerned with their own well-being?

One way to determine their intention, Fisher suggested, is to observe how managers communicate with shareholders. All businesses, good and bad, will experience a period of unexpected difficulties. Commonly, when business is good, management talks freely, but when business declines, some managers clam up rather than talking openly about the company’s difficulties. How management responds to business difficulties, Fisher noted, tells a lot about the people in charge of the company’s future.

For a business to be successful, he argued, management must also develop good working relations with all its employees. Employees should genuinely feel that their company is a good place at which to work. Blue-collar employees should feel that they are treated with respect and decency. Executive employees should feel that promotion is based on ability, not favoritism.

Fisher also considered the depth of management. Does the chief executive officer have a talented team, he asked, and is the CEO able to delegate authority to run parts of the business?

Finally, Fisher examined the specific characteristics of a company: its business and management aspects, and how it compares to other businesses in the same industry. In this search, Fisher tried to uncover clues that might lead him to understand the superiority of a company in relation to its competitors. He argued that reading only the financial reports of a company is not enough to justify an investment. The essential step in prudent investing, he explained, is to uncover as much about the company as possible, from people who are familiar with the company. Fisher admitted that this was a catchall inquiry that would yield what he called “scuttlebutt.” Today, we might call it the business grapevine. If handled properly, Fisher